Finance Paper Digest Generated: 2026-07-24 19:30 Date: 2026-06

Total: 37 papers (37 with abstract, 37 with PDF)

Contents

The Journal of Finance

1. Cash Heterogeneity and the Payout Channel of Monetary Policy

Authors: ALTAN PAZARBAŞI
DOI: 10.1111/jofi.70059

Fields & Theories:

- **Fields:** Monetary Policy, Corporate Finance, Asset Pricing, Macro-Finance
- **Theories:** New Keynesian Model, Precautionary Savings, Payout Channel, Heterogeneous-firm Model

Abstract:

This paper provides novel empirical evidence that cash-rich firms have higher equity payouts and higher stock prices in response to expansionary monetary policy surprises. Stock prices rise despite weak cash-flow, investment, and credit responses to monetary policy. I rationalize the empirical evidence in a heterogeneous-firm New Keynesian model where firms finance investment with cash and equity issuance. Monetary easing weakens precautionary cash demand, leading cash-rich firms to optimally allocate excess funds to shareholders. Since payouts are procyclical, cash-rich firms earn higher returns in expansionary periods. My findings highlight a payout channel through which monetary policy impacts asset prices.

`PAZARBAŞI - Cash Heterogeneity and the Payout Channel of Monetary Policy.pdf`

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2. Detecting Informed Trading Risk from Undercutting Activity

Authors: YASHAR H. BARARDEHI, PETER DIXON, QIYU LIU
DOI: 10.1111/jofi.70047

Fields & Theories:

- **Fields:** Market Microstructure, Information Asymmetry
- **Theories:** Adverse Selection, Liquidity Provision, Informed Trading Risk

Abstract:

We introduce a simple measure of informed trading risk, QIDres, the residual to liquidity quote-improvement-to-deterioration ratio times −1. When facing with increased informed trading risk, liquidity providers compete less to provide liquidity, reducing their undercutting activity. Reductions in undercutting leave footprints in trade and quote data that are captured by QIDres. Unlike prior measures, QIDres is easy to construct, can be computed intraday, and is orthogonal to liquidity. The QIDres measure outperforms prominent existing alternatives in reflecting the extent of information asymmetry before earnings announcements, predicting unscheduled press releases, and identifying informed trading spillovers around them.

`BARARDEHI - Detecting Informed Trading Risk from Undercutting Activity.pdf`

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3. Private Equity and Pay Gaps Inside the Firm

Authors: LILY FANG, JIM GOLDMAN, ALEXANDRA ROULET
DOI: 10.1111/jofi.70043

Fields & Theories:

- **Fields:** Corporate Finance, Private Equity, Labor Finance
- **Theories:** Leveraged Buyouts, Pay Inequality, Employee Turnover

Abstract:

Using two decades of French administrative data, we find that post-leveraged buyout (LBO), target firms reduce within-firm pay gaps while increasing profitability relative to control firms. Employee turnover drives the pay-gap reduction. In target and control firms alike, turnovers reduce average pay more at the top of the wage distribution than at the bottom because separated employees are paid more—new joiners less—than

similar employees, especially among skilled employees. LBOs amplify this effect through increased turnover among managers. Post-buyout, p90/p10, gender, age, and managers/non-managers pay gaps decline by 3%, 9%, 21%, and 4% and the employee pool becomes younger.

`FANG - Private Equity and Pay Gaps Inside the Firm.pdf`

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4. The Debt-Equity Spread

Authors: HUI CHEN, ZHIYAO CHEN, JUN LI
DOI: 10.1111/jofi.70060

Fields & Theories:

- **Fields:** Asset Pricing, Corporate Finance, Financial Intermediation
- **Theories:** Market Segmentation, Mispricing, Capital Structure, Arbitrage

Abstract:

We propose a measure of the valuation gap between debt and equity—debt-equity spread (DES)—based on the difference between actual and equity-implied credit spreads. DES predicts cross-sectional stock and bond returns in opposite directions. This predictability is unique compared to existing mispricing measures and cannot be explained by exposures to various risk factors. High-DES firms are more likely to issue equity and retire debt, and have more insider equity selling. These findings are consistent with DES capturing relative mispricing between debt and equity, and provide empirical support for the model of partially segmented markets in Greenwood, Hanson, and Liao (2018, Review of Financial Studies 31, 3307–3343).

`CHEN - The Debt-Equity Spread.pdf`

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5. Learning to Navigate a New Financial Technology

Authors: EMILY BREZA, MARTIN KANZ, LEORA KLAPPER
DOI: 10.1111/jofi.70062

Fields & Theories:

- **Fields:** Household Finance, FinTech, Development Finance
- **Theories:** Learning-by-doing, Trust, Field Experiment

Abstract:

We present results from a field experiment that introduced digital payroll accounts to unbanked factory workers to examine how inexperienced consumers learn to use a new financial technology. We find that exposure to payroll accounts leads to increased account use, accelerated learning, and avoidance of common consumer protection risks. Those receiving electronic wage payments gradually build trust in the technology, learn to use accounts without assistance, and avoid illicit fees. Using experimental variation in assignment to bank versus mobile money accounts, we show that these impacts are concentrated in mobile money accounts, the newer, more complex, and less trusted financial technology.

`BREZA - Learning to Navigate a New Financial Technology.pdf`

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6. Twin Defaults and Bank Capital Requirements

Authors: CATERINA MENDICINO, KALIN NIKOLOV, JUAN RUBIO-RAMIREZ, JAVIER SUAREZ, DOMINIK SUPERA
DOI: 10.1111/jofi.70058

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Macro-Finance
- **Theories:** General Equilibrium, Capital Requirements, Credit Risk, Twin Defaults

Abstract:

We examine optimal capital requirements in a quantitative general equilibrium model with banks exposed to nondiversifiable borrower default risk. Contrary to standard models of bank default risk, our framework captures the limited upside, but significant downside risk of loan portfolio returns. This helps to reproduce the frequency and severity of twin defaults: simultaneously high firm and bank defaults. Hence, the optimal bank capital requirement, which trades off a lower frequency of twin defaults against restricting credit provision, is higher than under default risk models which underestimate the impact of borrower default on bank solvency.

`MENDICINO - Twin Defaults and Bank Capital Requirements.pdf`

Journal of Financial and Quantitative Analysis

1. Resolution Design and Investment in Banking Groups

Authors: Albert Banal-Estañol, Gyöngyi Lóránth, David Pothier
DOI: 10.1017/s0022109026103032

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Financial Regulation, Corporate Finance
- **Theories:** Moral Hazard, Risk-Sharing, Agency Theory, Commitment Problems

Abstract:

We study how resolution regimes affect investment in banking groups with subsidiaries of varying financial strength. Centralized regimes that preserve the group' s structure enable ex post support for weaker units but may constrain ex ante investment. Decentralized regimes that resolve units separately may enhance ex ante investment but limit risk-sharing ex post. The relative efficiency of each approach depends on the group' s risk profile and profitability. Allowing both regimes to coexist improves efficiency relative to imposing a uniform regime across all groups. However, a decentralized regime may not be credible if the regulator cannot commit to limit ex post risk-sharing. I.

`Banal-Estañol - Resolution Design and Investment in Banking Groups.pdf`

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2. Pension Fund Equity Investment and Firm Productivity

Authors: Roel Beetsma, Svend Erik Hougaard Jensen, David Pinkus, Dario Pozzoli
DOI: 10.1017/s0022109026103020

Fields & Theories:

- **Fields:** Institutional Investors, Corporate Finance, Pension Funds
- **Theories:** Corporate Governance, Monitoring, Information Asymmetry

Abstract:

This article examines how domestic pension fund equity investment relates to productivity in unlisted firms, using detailed ownership data linked to Danish administrative registers. Pension fund entry is associated with a 3%–5% higher level of productivity in the years following entry. The association is stronger when pension funds hold larger stakes, invest for longer, and are closer in the ownership chain. Pension fund entry is also associated with a subsequent increase in the number of a firm' s additional investors. We find no investment productivity association for listed firms. I.

`Beetsma - Pension Fund Equity Investment and Firm Productivity.pdf`

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3. Get the Money Somehow: The Effect of Missing Performance Goals on Insider Trading

Authors: Meng Gao
DOI: 10.1017/s0022109026103044

Fields & Theories:

- **Fields:** Corporate Finance, Corporate Governance, Insider Trading
- **Theories:** Agency Theory, Regression Discontinuity Design, Moral Hazard

Abstract:

This paper uses a regression discontinuity design to identify the effect of compensation shocks on insider trading. I find that CEOs who narrowly miss relative performance goals and hence suffer a loss in compensation subsequently earn higher abnormal profits from their insider trades than otherwise similar CEOs who narrowly beat such goals. CEOs who narrowly miss relative performance goals also become less likely to provide earnings and sales guidance. These results suggest that managers can use insider trading to make up for compensation losses due to missing relative performance goals, which could reduce the incentive effect of performance-based pay. 1 Published online by Cambridge University Press I.

`Gao - Get the Money Somehow The Effect of Missing Performance Goals on Insider Trading.pdf`

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4. The Effect of Tax Incentives on Local Private Investments and Entrepreneurship: Evidence from the Tax Cuts and Jobs Act of 2017

Authors: Jiajie Xu
DOI: 10.1017/s0022109026103068

Fields & Theories:

- **Fields:** Public Finance, Corporate Finance, Entrepreneurship, Real Estate Finance
- **Theories:** Difference-in-Differences, Tax Incentives, Market Competition, Crowding Out

Abstract:

This article examines how place-based tax incentives impact local private investments and entrepreneurship by studying the U.S. Opportunity Zone program targeting economically disadvantaged neighborhoods. Using a difference-in-differences approach across census tracts, I find that while the policy increases investment deals in treated areas by 10.5%, it leads to a 1.8% decline in business formation, particularly in the non-tradable sector where firms compete locally. Opportunity Zone investors prefer older, established firms, which in turn discourages business formation. Furthermore, the decline in entrepreneurship is associated with a 1.7% reduction in local employment and decreased market competition, suggesting negative real economic impact. I.

`Xu - The Effect of Tax Incentives on Local Private Investments and Entrepreneurship E.pdf`

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5. Appointing Charity Directors in Response to ESG Incidents

Authors: Marina Gertsberg, Hae Won (Henny) Jung, Yuyang Zhang
DOI: 10.1017/s0022109026103056

Fields & Theories:

- **Fields:** Corporate Finance, ESG/Sustainable Finance, Corporate Governance
- **Theories:** Human Capital, Instrumental Variables, Signaling Theory, Reputation Management

Abstract:

This paper examines how companies respond to negative ESG incidents by appointing directors with charitable organization experience. Firms are more likely to make these appointments following high-profile ESG incidents, especially those involving social issues. The market reacts positively, particularly when directors' biographies emphasize their charity experience. Using the local supply of charity directors as an instrumental variable, we show that incidents, particularly workforce-related incidents, decline after these appointments, with effects driven by nonoverboarded directors. Overall, our study documents a value-enhancing human capital channel through which firms address ESG concerns.

Gertsberg - Appointing Charity Directors in Response to ESG Incidents.pdf

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6. Common Idiosyncratic Quantile Factors and Asset Prices

Authors: Jozef Baruník, Matěj Nevrla
DOI: 10.1017/s002210902610307x

Fields & Theories:

- **Fields:** Asset Pricing, Financial Econometrics
- **Theories:** Quantile Factor Analysis, Tail Risk, Intermediary Asset Pricing, Idiosyncratic Risk

Abstract:

We investigate whether the tails of firm-level idiosyncratic return distributions are driven by common shocks. We use quantile factor analysis to extract such common idiosyncratic quantile factors with asymmetric pricing effects, and we find a significant premium for innovations to the lower-tail factor: high-exposure stocks outperform low-exposure stocks by approximately 7-8% per year. This premium remains significant even when controlling for standard factors, idiosyncratic volatility, and tail-risk measures. The downside factor strengthens when intermediary capital is weak and market liquidity is low, and the associated increase in risk predicts higher aggregate market excess returns.

Baruník - Common Idiosyncratic Quantile Factors and Asset Prices.pdf

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7. Do Banks Overreact to Disaster Risk?

Authors: Qianqian Huang, Feng Jiang, Yuhai Xuan, Tao Yuan
DOI: 10.1017/s0022109026103081

Fields & Theories:

- **Fields:** Banking, Behavioral Finance, Corporate Finance
- **Theories:** Salience Bias, Risk Perception, Information Asymmetry

Abstract:

We examine how banks respond to natural disasters when borrowers are in proximity to affected areas. We find robust evidence that banks impose significantly higher loan spreads on firms in these areas following a disaster compared to other borrowers. This effect diminishes over time and is stronger for loans with concentrated syndicates, disasters with greater media coverage, and cases in which loan officers are geographically closer to disaster sites. The increased financing costs result in capital constraints for affected firms. Overall, our findings highlight a salience bias in banks' evaluation of borrowers' disaster risk, with adverse effects on borrowing firms.

Huang - Do Banks Overreact to Disaster Risk.pdf

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8. Portfolio Choice with Nonfungible Brokerage Cash

Authors: Xindi He, Ning Zhu
DOI: 10.1017/s0022109026103093

Fields & Theories:

- **Fields:** Behavioral Finance, Household Finance, Asset Pricing
- **Theories:** Mental Accounting, Loss Aversion, Quasi-Experiment

Abstract:

Standard portfolio-choice models treat cash as fungible. Using positions and transfer records for 46,016 Chinese investors, we show that brokerage cash is nonfungible and that cashsource effects refresh and decay. We label inflows from savings transfers as "cold" and trading-recycled funds as "hot" and construct a cash-

temperature measure tracking these dynamics. Investors allocate colder cash to safer stocks, controlling for gains and losses, trading intensity, and rebalancing. Quasi-experimental variation from China' s 2016 IPO reform supports a causal interpretation. A preregistered experiment links cold framing to loss aversion; a model with temperature-dependent sensitivity to gains and losses rationalizes the evidence. I.

`He - Portfolio Choice with Nonfungible Brokerage Cash.pdf`

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9. Measuring the Cost of Regulation: A Text-Based Approach

Authors: Charles W. Calomiris, Harry Mamaysky, Ruoke Yang
DOI: 10.1017/s0022109026103147

Fields & Theories:

- **Fields:** Financial Regulation, Corporate Finance, Asset Pricing
- **Theories:** Textual Analysis, Regulatory Exposure, Risk Premia

Abstract:

We derive a measure of firm-level regulatory exposure from corporate earnings calls text and study its effects on growth, leverage, profitability, and equity returns. Higher regulatory exposure results in slower sales and asset growth, lower leverage, reduced profitability, but higher post-call equity returns. Most of these effects are mitigated for larger firms. We validate our measure by showing its explanatory power for cross-sectional stock returns during the 2016 Presidential election.

`Calomiris - Measuring the Cost of Regulation A Text-Based Approach.pdf`

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10. How Does Benchmarking Affect Market Efficiency? The Role of Learning Technology

Authors: Wen Chen, Bo Hu, Yajun Wang
DOI: 10.1017/s0022109026103160

Fields & Theories:

- **Fields:** Asset Pricing, Information Economics, Market Microstructure
- **Theories:** Market Efficiency, Benchmarking, Information Acquisition, Rational Expectations

Abstract:

We study how asset managers' benchmarking affects market efficiency under two learning technologies: separative and integrative. With integrative learning, investors process portfolio-wide signals, optimizing information allocation across assets instead of focusing on individual ones. Therefore, increased benchmarking on an asset with greater uncertainty can enhance its price informativeness as investors direct more attention to it. This contrasts with the existing results assuming separative learning. Moreover, our study indicates that benchmarking could increase overall market efficiency, with each learning technology presenting distinct implications for asset pricing. These findings emphasize the critical role of learning technology in understanding the effects of benchmarking.

`Chen - How Does Benchmarking Affect Market Efficiency The Role of Learning Technology.pdf`

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11. Crowding-Out Innovation

Authors: Julian Atanassov, Vikram Nanda
DOI: 10.1017/s0022109026103111

Fields & Theories:

- **Fields:** Corporate Finance, Public Finance, Innovation Finance
- **Theories:** Crowding-out Effect, Financing Constraints, External Finance Dependence

Abstract:

We hypothesize that increases in federal spending financed by government borrowing crowd out innovative firms from financial markets. We find that unexpected defense spending shocks are followed by lower R&D investment and subsequent declines in scale, novelty, and economic value of corporate innovation. Consistent with a financing channel in which government borrowing displaces corporate financing, the decline is stronger for firms that are more financially constrained, more dependent on external finance, have higher short-term debt, and lower credit ratings. Unexpected defense spending is followed by higher short-term government borrowing, which in turn is associated with lower corporate innovation.

`Atanassov - Crowding-Out Innovation.pdf`

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12. Securing Debt in the Knowledge Economy: Evidence from Intellectual Property Registers

Authors: Laurie Ciaramella, David Heller, Leo Leitzinger
DOI: 10.1017/s002210902610310x

Fields & Theories:

- **Fields:** Corporate Finance, Financial Intermediation, Banking, Intellectual Property
- **Theories:** Collateral Channel, Information Asymmetry, Natural Experiment

Abstract:

This study examines the role of intellectual property (IP) rights as loan collateral in debt financing. We use novel data from French IP registers combined with firm-level financial information to systematically document the characteristics of IP-backed loans and IP-pledging firms. Exploiting a major reform of French security law as a quasi-natural experiment, our analysis shows that IP collateral facilitates access to debt financing in knowledge-based economies, particularly for small, intangible-intensive private firms. We further provide evidence that trademarks and patents can be meaningful components of collateral packages and that the legal framework plays a central role in shaping their use.

`Ciaramella - Securing Debt in the Knowledge Economy Evidence from Intellectual Property Regis.pdf`

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13. Unlocking ESG Premium from Options

Authors: Jie (Jay) Cao, Amit Goyal, Xintong (Eunice) Zhan, Weiming (Elaine) Zhang
DOI: 10.1017/s0022109026103123

Fields & Theories:

- **Fields:** Asset Pricing, Derivatives, ESG/Sustainable Finance
- **Theories:** Hedging Pressure, Jump Risk, Option Pricing Theory

Abstract:

We find that option expensiveness, measured by delta-hedged option returns, is higher for lowESG stocks, indicating that investors pay a premium in the options market to hedge against ESG-related uncertainty. We estimate that this ESG premium is about 0.2% for 50 days. All three components of ESG contribute to option pricing. We find that investors pay the ESG premium to hedge against jump risks, but not volatility risks. The effect of ESG performance is more prominent during periods when attention to ESG is higher and for firms that are more subject to ESG-related risks.

`Cao - Unlocking ESG Premium from Options.pdf`

The Review of Financial Studies

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1. The Real Effect of Sociopolitical Racial/Ethnic Animus: Mutual Fund Manager Performance during AAPI Hate

Authors: Vikas Agarwal, Wei Jiang, Yuchen Luo, Hong Zou
DOI: 10.1093/rfs/hhag052

Fields & Theories:

- **Fields:** Behavioral Finance, Asset Management, Labor Finance
- **Theories:** Behavioral Bias, Discrimination, Human Capital, Productivity Impairment

Abstract:

During the 2020–2021 "AAPI Hate," mutual funds led by female managers perceived as East Asian underperformed relative to other female managers. This effect is stronger in states with higher anti-Asian animus, among more actively managed funds, and when these managers hold sole or senior roles. Factors concurrent with COVID-19, including childcare challenges, concerns for overseas families, marketplace and workplace discrimination, and exposure to the Chinese economy, cannot explain the effect. Underperformance is traceable to poor stock picking due to impairments in generating private information. Racial-ethnic animosity, even outside workplace or marketplace, hinders productivity and decision-making in high-skill professions.

`Agarwal - The Real Effect of Sociopolitical RacialEthnic Animus Mutual Fund Manager Perfor.pdf`

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2. Thematic Concentration and Mutual Fund Performance

Authors: John (Jianqiu) Bai, Yuehua Tang, Chi Wan, H Zafer Yüksel
DOI: 10.1093/rfs/hhag021

Fields & Theories:

- **Fields:** Asset Management, Mutual Funds, Information Asymmetry
- **Theories:** Alpha Generation, Textual Analysis, Human Capital

Abstract:

This study examines whether mutual fund managers generate alpha through thematic investment strategies that select stocks poised to benefit from specific themes. Using textual analysis of 10-K filings, we identify stocks' thematic exposures and construct each fund's thematic concentration index (TCI) from its holdings. High-TCI funds significantly outperform, with a top-minus-bottom decile spread of 4.26% in annualized four-factor alpha. Managers' thematic expertise is related to their undergraduate field of study. Outperformance arises from superior stock selection rather than theme-related timing, with an informational advantage on firm earnings, particularly in stocks exposed to themes related to managers' undergraduate training.

`Bai - Thematic Concentration and Mutual Fund Performance.pdf`

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3. Partial Equilibrium Thinking, Extrapolation, and Bubbles

Authors: Francesca Bastianello, Paul Fontanier
DOI: 10.1093/rfs/hhag053

Fields & Theories:

- **Fields:** Behavioral Finance, Asset Pricing, Financial Bubbles
- **Theories:** Partial Equilibrium Thinking, Extrapolative Beliefs, Kindleberger Narrative

Abstract:

We develop a dynamic theory of "Partial Equilibrium Thinking" (PET), which micro-founds time-varying return extrapolation: extrapolative beliefs are present at all times, but only sometimes manifest themselves in explosive ways. We formalize the distinction between normal times shocks and "displacement shocks," and study their interaction with extrapolative beliefs. In normal times, PET generates constant extrapolation and

momentum. After a displacement shock that increases uncertainty, PET leads to stronger and time-varying extrapolation, triggering bubbles and endogenous crashes. Our theory sheds light on both market dynamics in normal times and Kindleberger's narrative of bubbles within a unified framework.

`Bastianello - Partial Equilibrium Thinking, Extrapolation, and Bubbles.pdf`

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4. Voting on Public Goods: Citizens vs Shareholders

Authors: Robin Döttling, Doron Levit, Nadya Malenko, Magdalena Rola-Janicka
DOI: 10.1093/rfs/hhag051

Fields & Theories:

- **Fields:** Corporate Governance, ESG/Sustainable Finance, Public Finance
- **Theories:** Shareholder Democracy, Public Goods Provision, Political Economy

Abstract:

We study the interplay between a "one person-one vote" political system and a "one share-one vote" corporate governance regime. If shareholders push firms for more prosocial policies, political backlash may arise, undoing these initiatives. If public policy is frictionless, shareholder democracy becomes irrelevant: the political system fully offsets shareholder influence. With public policy frictions, prosocial corporations can mitigate regulatory shortcomings and enhance corporate public goods provision. Nevertheless, shareholder democracy can hurt citizens due to the representation problem: it favors the preferences of the wealthy. Investor diversification, pass-through voting, and corporate greenwashing have important implications for these trade-offs of shareholder democracy.

`Döttling - Voting on Public Goods Citizens vs Shareholders.pdf`

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5. The Variance Premium and Seasonal Momentum in Option Returns

Authors: Steven L Heston, Christopher S Jones, Mehdi Khorram, Shuaiqi Li, Haitao Mo
DOI: 10.1093/rfs/hhag057

Fields & Theories:

- **Fields:** Asset Pricing, Derivatives, Behavioral Finance
- **Theories:** Variance Risk Premium, Momentum, Information Channel

Abstract:

We develop a model-free measure of the variance premium by constructing option portfolios whose returns are highly correlated with realized stock variance. This effectively decomposes returns into realized variance minus implied variance. We apply this decomposition to document a novel quarterly cross-sectional continuation pattern in both realized variance and implied variance of individual stocks. Implied variance underanticipates the seasonality of realized variance, so options that performed well at quarterly lags continue to earn high returns in the future. Quarterly periodicity in realized stock variance only occurs on days with analyst earning revisions, suggesting an informational channel for this pattern. (JEL G12, G13, G40)

`Heston - The Variance Premium and Seasonal Momentum in Option Returns.pdf`

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6. Green Investing and Political Behavior

Authors: Florian Heeb, Julian F Kölbel, Stefano Ramelli, Anna Vasileva
DOI: 10.1093/rfs/hhag055

Fields & Theories:

- **Fields:** ESG/Sustainable Finance, Public Finance, Behavioral Finance
- **Theories:** Crowding-out Effect, Experimental Economics, Political Economy

Abstract:

A fundamental concern about green investing is that it may crowd out political support for public policies addressing negative externalities. We examine this concern in a preregistered experiment conducted shortly before a real referendum on a climate law in Switzerland. We find that offering an opportunity to invest in a climate-friendly fund does not reduce individual support for climate regulation, measured by political donations and voting intentions. A replication of the experiment in the United Kingdom yields similar results. Our estimates reject a crowding-out effect, suggesting instead a modest crowding-in effect of green investing on political support for green policies.

`Heeb - Green Investing and Political Behavior.pdf`

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7. Can Discount Window Stigma Be Cured? An Experimental Investigation

Authors: Olivier Armantier, Charles Holt
DOI: 10.1093/rfs/hhag013

Fields & Theories:

- **Fields:** Financial Intermediation, Central Banking, Behavioral Finance
- **Theories:** Lender of Last Resort, Experimental Economics, Behavioral Inertia, Stigma

Abstract:

A core responsibility of the Federal Reserve is to ensure financial stability by acting as the lender of last resort through its Discount Window (DW). The DW, however, has not been effective because its usage is stigmatized. In this paper, we use theory and experiments to study how such stigma can be cured. We find that behavioral inertia makes it difficult to fix a stigmatized DW, but adding a new backstop facility can help mitigate stigma. These results are consistent with the Federal Reserve’s experience.

`Armantier - Can Discount Window Stigma Be Cured An Experimental Investigation.pdf`

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8. Mutual Fund Flows at Long Horizons

Authors: Hendrik Bessembinder, Shuaiyu Chen, Michael J Cooper, Jinming Xue, Feng Zhang
DOI: 10.1093/rfs/hhag059

Fields & Theories:

- **Fields:** Asset Management, Behavioral Finance, Household Finance
- **Theories:** Behavioral Bias, Disappointment Hypothesis, Tax-Loss Selling

Abstract:

We show that positive flows to active mutual funds with high recent returns partially reverse at longer horizons. This outcome is robust across a broad range of alternative specifications. Reversal occurs from greater outflows associated with high prior returns, not reduced inflows. We test theories to explain the reversal: investment life cycles, tax loss selling, and a behavioral “disappointment” hypothesis based on investors’ overreaction to positive returns. While both tax loss selling and short investor life cycles can contribute, the evidence supports a role for investor disappointment, whereby investors redeem their capital when return performance fails to meet expectations.

`Bessembinder - Mutual Fund Flows at Long Horizons.pdf`

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9. Emission Caps and Investment in Green Technologies

Authors: Bruno Biais, Augustin Landier
DOI: 10.1093/rfs/hhag060

Fields & Theories:

- **Fields:** Corporate Finance, ESG/Sustainable Finance, Public Finance, Environmental Economics
- **Theories:** Game Theory, Strategic Complementarities, Innovation Spillovers, Time Inconsistency

Abstract:

We study the interaction between firms, which can invest in green technologies, and a government, which can impose emission caps but has limited commitment power. Investment in green technologies generates innovation spillovers, reducing the cost of further investments. Spillovers generate intertemporal strategic complementarities between firms and government, and equilibrium multiplicity. In a "green equilibrium", firms, anticipating caps, invest in green technologies, which reduces the cost of further investment, making the government willing to cap emissions. In a "brown equilibrium", firms, anticipating no caps, don't invest, so green technologies remain costly and the government gives up on emission caps.

`Biais - Emission Caps and Investment in Green Technologies.pdf`

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10. Too Good to Be True: Look-Ahead Bias in Empirical Options Research

Authors: Jefferson Duarte, Christopher S Jones, Mehdi Khorram, Haitao Mo, Junbo L Wang
DOI: 10.1093/rfs/hhag061

Fields & Theories:

- **Fields:** Asset Pricing, Derivatives, Market Microstructure, Empirical Finance
- **Theories:** Look-Ahead Bias, Efficient Market Hypothesis, Empirical Methodology, Information Asymmetry

Abstract:

Numerous trading strategies examined in options research exhibit remarkably high mean returns and Sharpe ratios. We show some of these seemingly "good deals" are due to look-ahead biases. These biases stem from using information unavailable at the portfolio formation time to filter out observations suspected of being noisy or erroneous. Our results suggest that elevated Sharpe ratios may serve as potential indicators of such look-ahead biases. Furthermore, deviating from previous literature findings, we show that illiquidity is not strongly priced in stock options and that only a small set of stock characteristics are in fact associated with option expected returns.

`Duarte - Too Good to Be True Look-Ahead Bias in Empirical Options Research.pdf`

Review of Finance

1. Analyst stickiness and stock return predictability

Authors: Zhengyu Cao, Libin Tao, Rundong Wang, Chengxi Yin
DOI: 10.1093/rof/rfag022

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance, Information Asymmetry
- **Theories:** Cognitive Noise, Belief Updating, Rational Inattention, Forecast Stickiness

Abstract:

This study estimates analyst-level stickiness in forecast updating and investigates its underlying determinants. Consistent with recent experimental findings on belief updating under cognitive noise, analysts often compress their forecasts toward an intermediate default, such as prior forecasts, when uncertain about forecast preci sion, leading to forecast stickiness. This tendency is more evident among analysts with characteristics associated with higher cognitive noise, including lower forecast accuracy, limited experience, and complex portfolio coverage, and during periods of heightened macroeconomic uncertainty. A model incorporating sticky updating be havior shows that the consensus revision by sticky analysts exhibits stronger return predictability than the traditional consensus revision by all analysts, with this pre dictability increasing with the proportion of sticky analysts covering a stock. Empirical evidence supports these predictions. Additionally, the return predictability of sticky revisions is especially pronounced when forecast difficulty is elevated. Analyst-level stickiness provides more information about the cross-section of stock returns than firm-level stickiness.

`Cao - Analyst stickiness and stock return predictability.pdf`

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2. Opacity, signaling, and bail-ins

Authors: Kentaro Asai, Bruce Grundy, Ryuichiro Izumi
DOI: 10.1093/rof/rfag019

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Financial Regulation
- **Theories:** Signaling Theory, Information Asymmetry, Bank Run Theory

Abstract:

Should banks be transparent during a bail-in? Banks suffering losses may bail-in creditors to optimally allocate resources between early and late withdrawers. However, if losses are private information, then bail-ins may signal asset quality. In the absence of signaling, banks can sell assets at a pooled price, effectively insuring creditors against asset risks. However, when bail-ins signal quality, banks may delay bail-ins and sell assets at higher prices than otherwise, but this incentive can trigger inefficient bank runs. To prevent such runs, banks should choose to be either fully transparent or entirely opaque, ensuring asset quality is not private information.

`Asai - Opacity, signaling, and bail-ins.pdf`

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3. High-end IPO prices

Authors: Clemens Mueller, Patrick Verwijmeren
DOI: 10.1093/rof/rfag016

Fields & Theories:

- **Fields:** Corporate Finance, Behavioral Finance, Capital Markets
- **Theories:** Salience Theory, Bargaining Theory, Behavioral Bias

Abstract:

Many initial public offerings (IPOs) are priced at exactly the high-end of the pricing range. Investing in IPOs priced at the high-end leads to first-day returns that are sub stantially higher than investing in IPOs that are priced just below or above the highend. We argue that these results are in line with issuing firms settling for positively perceived salient pricing points in negotiations with underwriters.

`Mueller - High-end IPO prices.pdf`

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4. Excess reserves and monetary policy tightening

Authors: Daniel Fricke, Stefan Greppmair, Karol Paludkiewicz
DOI: 10.1093/rof/rfag012

Fields & Theories:

- **Fields:** Monetary Policy, Financial Intermediation, Banking
- **Theories:** Bank Lending Channel, Monetary Policy Transmission, Net Worth Channel

Abstract:

We show that the transmission of a monetary policy tightening varies in the cross-section of banks when

central bank reserves are abundant. Specifically, the net worth of reserve-rich banks may display a boost when the interest rate paid on reserves increases strongly. Focusing on the European Central Bank’ s 2022 rate hiking cycle, we show that reserve-rich banks’ credit supply is less sensitive to the monetary policy tightening compared to other banks. The effect varies in the cross-section of both banks and firms. The results are binding at the firm level, indicating the presence of real effects.

`Fricke - Excess reserves and monetary policy tightening.pdf`

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5. Stress tests by an informed regulator

Authors: Markus Parlasca
DOI: 10.1093/rof/rfag020

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Financial Regulation
- **Theories:** Information Asymmetry, Game Theory, Signaling, Time-Inconsistency

Abstract:

This article studies the disclosure of stress test results by a regulator who is privately informed about bank health when she chooses the stress scenario. I show that the regulator’s choice of the stress scenario depends on how heterogeneous health is across banks. There can be fewer runs than under transparency. However, there are more runs than when the regulator chooses the scenario before becoming informed, highlighting a time-inconsistency problem. Moreover, disclosure can become a source of informational contagion, as changes in the health of one bank affect beliefs about other banks. The model explains the empirical puzzle that a bank’ s share price can fall even though it passes the stress test.

`Parlasca - Stress tests by an informed regulator.pdf`

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6. Intermediation networks and derivative market liquidity: evidence from credit default swap markets

Authors: Paddrik Mark, Tompaidis Stathis
DOI: 10.1093/rof/rfag023

Fields & Theories:

- **Fields:** Market Microstructure, Financial Intermediation, Derivatives
- **Theories:** Network Theory, Cooperative Game Theory, Inventory Management

Abstract:

In over-the-counter markets, dealers facilitate trade by providing liquidity and acting as intermediaries. We use proprietary data on US single-name credit default swap trades and positions to study how dealer intermediation networks shape liquidity. For each reference entity, we reconstruct interdealer and dealer-to-client networks and introduce Shapley value-based measures of dealer and market connectivity. We present a cooperative game framework that links these measures to predictions for the liquidity that dealers provide at both individual and market levels. Empirically, we find that Shapley values are strongly associated with trade volumes, inventory management, execution costs, and bid–ask spreads.

`Mark - Intermediation networks and derivative market liquidity evidence from credit def.pdf`

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7. Financial advice and retirement savings

Authors: Daniel Hoechle, Stefan Ruenzi, Nic Schaub, Markus Schmid
DOI: 10.1093/rof/rfag007

Fields & Theories:

- **Fields:** Household Finance, Financial Intermediation, Public Finance
- **Theories:** Financial Advice, Tax Incentives, Rent-sharing

Abstract:

We study the impact of financial advice on retirement savings. We document that advisors help clients to prepare for retirement by inducing them to take advantage of tax incentives offered on retirement accounts. Advisors particularly promote retirement funds as compared to savings accounts. After-tax returns of advisor-induced retirement fund investments exceed returns of plausible alternative investments. We find no indication that advisor-induced contributions to retirement accounts lead to negative side effects, such as reductions in other savings or liquidity constraints. Hence, we provide evidence of a bright side of financial advice. Furthermore, investments in retirement funds increase bank profits, pointing toward a win–win situation with rent-sharing between the bank and its clients. However, advisors do not in particular target clients that are at a higher risk of under-saving for retirement, such as female clients, clients with lower wealth, and less-educated clients.

`Hoechle - Financial advice and retirement savings.pdf`

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8. Sectoral comovement and conglomerate networks

Authors: Kenneth R. Ahern, Lei Kong, Xinyan Yan
DOI: 10.1093/rof/rfag024

Fields & Theories:

- **Fields:** Corporate Finance, Macro-Finance, Industrial Organization
- **Theories:** Network Theory, Idiosyncratic Shocks, Aggregate Volatility

Abstract:

We study the influence of multi-sector conglomerate firms on sectoral comovement. Using an innovative network model of firms and industries, we derive a novel measure of the co-concentration of industries in which two industries are more co-concentrated if they share greater exposure to the same conglomerate firms. Using time-series, cross-sectional, and longitudinal tests on establishment-level data from nearly all US firms over 1991 to 2019, we find that industries with higher co-concentration exhibit stronger comovement in employment, sales, and asset growth. Controlling for alternative explanations, a 1-SD increase in co-concentration corresponds to a 0.32-SD increase in the comovement of employment growth. In variance–covariance decompositions, we find that firm-specific shocks explain nearly half of aggregate volatility and industry comovement and that conglomerates play a significant role in sectoral comovement. Our framework helps explain how idiosyncratic, firm-level shocks contribute to aggregate fluctuations and influence business cycles.

`Ahern - Sectoral comovement and conglomerate networks.pdf`
